

COST EFFICIENCY
PASSIVE MANAGEMENT
OFFERS A HANDS-OFF
APPROACH TO INVESTING,
RESULTING IN A CONSIDERABLY
LOW EXPENSE RATIO
FOR INVESTORS

THE FINE PRINT
WHEN OPTING FOR
PASSIVE INVESTMENT
STRATEGIES, INVESTORS
SHOULD PAY ATTENTION TO KEY
FACTORS SUCH AS TRACKING
ERROR, EXPENSE RATIO,
AND LIQUIDITY

O **N FEBRUARY 15, 2024**, just three months after its launch, Zerodha Fund House—a joint venture between India's largest stockbroking firm

Zerodha Broking and portfolio investing platform smallcase Technologies—attracted 100,000 investors and ₹500 crore in assets under management (AUM). The fund house took just 40 more days to accomplish the next ₹500 crore in AUM, because of the sharp rally in the market.

But what makes Zerodha Fund House such a popular choice among investors looking at the mutual fund (MF) route is its unwavering focus on passive investing. It is India's only purely passive MF company. However, the shift towards passive investing is evident across the industry. According to the Association of Mutual Funds in India (AMFI) data, the total AUM of all passive funds surged to more than ₹9.34 lakh crore by March 2024, from ₹83,000 crore at the end of FY18—an 11-fold increase in less than six years.

Passive investing has become increasingly popular in India in recent times. This investment style involves creating a fund portfolio that closely mirrors a market index. It is the opposite of active management, where a fund manager strives to outperform the market using different investing strategies. This hands-off approach of passive investing also results in significantly lower costs for investors. The average expense ratio of the Top 10 equity funds stands at 1.94%, compared to 0.30% for the Top 10 passive funds.

"If an investor is looking to participate in the sector's growth without taking a call on the fund manager, then a passively managed offering is helpful. Over the past few years, investors have been increasingly embracing passive strategies, such as index funds and exchange-traded funds (ETFs), when it comes to exposure to benchmark indices. Going forward, this trend will gather steam," says Chintan Haria, Principal—Investment Strategy, ICICI Prudential AMC. But investors should be mindful that passively managed strategies do not have the potential to